

3.1.6 Business planning

Content	Additional information
• The purpose of business planning • The main sections within a business plan • Basic financial terms • Basic financial calculations	Students should be able to: • understand the reasons why businesses create plans, including importance in setting up a new business, raising finance, setting objectives and detailing how functions of a business will be organised • understand the main sections of a business plan • analyse the benefits and drawbacks of business planning • understand the difference between variable costs, fixed costs and total costs • understand the concept of revenue, costs, profit and loss. Students will not be expected to write a business plan.